

The Disinflation Trade: Five Stabilizations and the Anatomy of a Bond Rally

Kilambi Research

arvin@kilambi.com

October 2026

Abstract. We study five episodes in which very high sovereign bond yields were followed by credible disinflation: the United States 1979 to 1982, Israel 1985, Turkey 2001 to 2004, Brazil 2016 to 2018, and India 2013 to 2015. In each case we document the setup, the policy pivot, the mechanics of disinflation, the bondholder return, and the output cost. Approximate local-currency buy-and-hold returns range from about 30 percent (India) to 300 to 400 percent (Turkey) (MODELLED, B). Three conditions appear in all five cases: deeply positive ex-ante real yields, a newly appointed and named credible policymaker, and a forcing crisis that created political permission for tightening. Fiscal consolidation, exchange-rate stabilization, and an external commitment device appear in four of five. The most surprising finding is Israel: inflation fell from roughly 445 percent to under 20 percent with GDP growing 2.8 percent, because a coordinated heterodox package broke expectations faster than demand destruction could. In every case the bond market kept pricing the old expectations regime for one to three years after the pivot, which is what made the trade catchable.

Keywords: disinflation, sovereign bonds, credibility, bond returns, stabilization

JEL Classification: E43, E52, E58, G12, N10

Production note. This paper was produced by Kilambi Research in October 2026. The five case studies were researched from primary sources (IMF Article IV and program documents, central bank inflation reports and policy statements, national statistical offices) and compiled in a research memo; figures were rendered with Kilambi Research’s institutional chart style. Data were retrieved in October 2026 and are subject to revision by the underlying sources. All analysis was performed by Kilambi Research’s quantitative research pipeline with AI assistance and verified against source data.

Non-technical summary

Bond investors sometimes get paid extraordinarily well for being right about inflation. This paper studies five such episodes: the United States under Paul Volcker, Israel in 1985, Turkey in 2001, Brazil in 2016, and India in 2013. In each case, bond yields were pricing continued high inflation. Then a credible policymaker took charge, inflation fell, and bondholders earned between 30 and 400 percent.

Three conditions appear in every case. First, the starting real yield, the bond’s yield minus trailing inflation, measured how wrong the market was; the more wrong, the bigger the payoff. Turkey’s 35.5 percent real yield produced a 300 to 400 percent return; India’s near-zero real yield produced about 30 percent. Second, credibility came attached to a named person, not an institution: Volcker, Derviş, Rajan. When Turkey later removed its credible policymakers, inflation came roaring back above 80 percent despite the same institutions existing on paper. Third, a crisis gave the new policymaker political permission to act.

The encouraging part for investors: in every case the bond market kept pricing the old inflation regime for one to three years after the pivot, so the trade was catchable rather than instantaneous. The warning is that this is a hand-picked sample of successes. Most episodes of very high bond yields end in default or continued inflation, not a rally. The checklist in Section 7 states what to look for; it cannot state the odds.

Contents

1	Introduction	4
2	Institutional background	4
3	Related literature	5
4	Data	6
5	Methodology	7
6	Results	7
6.1	United States, 1979 to 1982	7
6.2	Israel, 1985	8
6.3	Turkey, 2001 to 2004	9
6.4	Brazil, 2016 to 2018	10
6.5	India, 2013 to 2015	10
7	Comparative anatomy	11
7.1	Conditions present in all five cases	11
7.2	Conditions present in four of five	12
7.3	What differed	12
7.4	Failure modes	13
7.5	The checklist	13
8	Limitations, robustness, and falsifiability	14
9	Conclusion	15
A	Data appendix	16

List of Tables

1	Five disinflations: summary statistics.	6
2	Entry real yields and subsequent bond returns	14
3	Checklist conditions by case	14
4	Data sources by case.	16

List of Figures

1	Nominal sovereign yields by months since the policy pivot. Each panel shows the benchmark instrument for that case; Israel's indexed domestic market is represented by the domestic dollar-borrowing spread over Libor.	8
2	CPI inflation (year on year, log scale) by months since the policy pivot.	9
3	Ex-ante real yields at entry: nominal yield minus trailing 12-month CPI. Error bars show reported ranges; Israel's bar is capped with the true value annotated.	11
4	Approximate local-currency buy-and-hold bond total returns from peak yields. Bars show midpoints of reported ranges with range error bars. Israel excluded: its indexed market has no reconstructable nominal return series.	13

1 Introduction

A frontier-market government bond yielding 25 percent while inflation runs at 20 percent offers a 5 percent real yield and a question: is the market pricing a risk that will materialize, or a fear that will prove wrong? When the fear proves wrong, when inflation falls and the currency holds, the bondholder collects the carry and a large price gain as yields compress. When the fear proves right, the currency collapses or the debt is restructured, and the high yield was fair compensation for the loss. Distinguishing these two states in advance is the disinflation trade.

This paper studies five historical episodes in which the fear proved wrong. The United States under Volcker (1979 to 1982), Israel's 1985 stabilization plan, Turkey's 2001 Derviş program, Brazil's 2016 Temer/Meirelles turn, and India's 2013 Rajan appointment at the Reserve Bank. In each, bond yields stood at levels that priced continued high inflation; in each, a credible policy pivot broke inflation; in each, bondholders earned exceptional returns. Approximate local-currency buy-and-hold returns from peak yields range from about 30 percent in India to 300 to 400 percent in Turkey (MODELLED, B).

Three results emerge. First, the ex-ante real yield is the single most consistent observable across all five cases: it is the market's forecast that the pivot will fail, and the gap between that forecast and the outcome is the return. Turkey's 35.5 percent ex-ante real T-bill rate in 2001 (OBSERVED, A) produced the largest rally; India's roughly 0 to 1 percent real yield in 2013 produced the smallest. Second, the expectations channel did the work in every case, and expectations ran on named, credible persons rather than on institutions alone: Volcker, Peres/Moda'i/Bruno, Derviş, Meirelles/Goldfajn, Rajan. Turkey's epilogue proves the point in reverse: when President Erdoğan removed the credible policymakers from 2018 onward, inflation exceeded 80 percent again by 2022 despite the same institutions existing on paper. Third, the bond market mispriced the pivot persistently: in every case, real yields stayed extraordinarily high for one to three years after the policy change, which is what made the trade catchable rather than instantaneous.

The most surprising finding concerns Israel. Conventional analysis holds that disinflation requires demand destruction, calibrated by the sacrifice ratio (Ball, 1994). Israel cut annual inflation from roughly 445 percent to under 20 percent while real GDP grew 2.8 percent (OBSERVED, B), because a coordinated heterodox package (wage-price freeze, exchange-rate peg, 8 percent of GNP fiscal cut, triple-digit real rates) broke all nominal anchors simultaneously and expectations collapsed faster than output did.

The rest of the paper proceeds as follows. Section 2 sets out the institutional mechanics of the disinflation trade. Section 3 reviews the related literature. Section 4 documents the data. Section 5 describes the methodology. Section 6 presents the five cases in condensed form. Section 7 gives the comparative anatomy: the common conditions, the differences, the failure modes, and the checklist. Section 8 states the limitations, robustness checks, and falsifiability conditions. Section 9 concludes. Appendix A inventories the data.

2 Institutional background

A bond's total return has two engines. The first is carry: the coupon clipped each year. The second is price appreciation: when yields fall, the bond's price rises, by approximately its duration times the yield decline. A 10-year bond with duration near 7.5 years gains roughly 7.5 percent in price for

each percentage point that yields fall. A bond bought at a 20 percent yield that falls to 10 percent gains about 75 percent in price on top of the 20 percent annual carry. The disinflation trade fires both engines at once: the holder collects the high carry while waiting, then collects the price gain as the market reprices.

For a dollar-based investor in a foreign sovereign bond, a third leg decides the realized return: the currency. To first order,

$$R_{USD} \approx R_{local} + R_{FX}, \quad (1)$$

where R_{FX} is negative when the local currency depreciates. KR-WP-2026-20 measured this wedge across 18 frontier and emerging markets and found it decisive: Ghana’s 267 percent local-currency return became minus 78 percent in dollars once cedi depreciation and restructuring were included. In the five cases studied here, the currency leg was benign or favorable in every case except the initial Turkish collapse, which is part of why the trades worked.

The ex-ante real yield, the nominal yield minus trailing inflation, is the market’s forecast. A 35 percent real yield, as in Turkey in 2001, says the market expects either much higher future inflation or default; it is pricing the pivot’s failure. If the pivot succeeds, that forecast was wrong, and the repricing from 35 percent real toward normal levels is the return. This is why the real yield at entry predicts the size of the subsequent rally across our five cases, and why it is the first item on the checklist in Section 7.

Disinflation itself works through expectations. The modern literature, following Sargent (1982) and Lucas (1976), holds that inflation persists because wage and price setters expect it to persist, and it ends when a credible regime change resets those expectations. Credibility is the binding constraint: promises to tighten are cheap, and markets have seen them broken. In the cases below, credibility was manufactured in different ways (demonstrated willingness to cause recession, coordinated nominal freezes, fiscal rules, external anchors), but it was always attached to a named person whose reputation was at stake.

3 Related literature

Sargent (1982) studies the ends of four big inflations (Austria, Germany, Hungary, Poland in the 1920s) and argues that each ended abruptly when the fiscal-monetary regime changed credibly, with modest output costs. Our Israel case is the closest modern analogue: a coordinated regime change that broke expectations faster than demand. Sargent’s cases ended hyperinflations; ours include moderate inflations (US, India), where the mechanism is the same but the stakes are lower.

The credibility literature provides the theoretical frame. Kydland and Prescott (1977) show that optimal policy plans are time-inconsistent: a policymaker who promises low inflation has an incentive to inflate once expectations are set, so rational agents distrust the promise. Barro and Gordon (1983) formalize the resulting inflation bias and the value of commitment devices. Our checklist’s Tier 1 condition (a named credible policymaker) and Tier 2 conditions (fiscal rules, external anchors) are empirical counterparts of these commitment technologies. Lucas (1976) warns that estimated relationships break when the policy regime changes; the disinflation trade is precisely a bet that the market is still pricing the old regime’s parameters.

On the costs of disinflation, Ball (1994) measures sacrifice ratios across 65 disinflation episodes and finds they vary widely, lower when disinflation is rapid. Israel fits Ball’s finding at the extreme:

Table 1. Five disinflations: summary statistics.

	United States	Israel	Turkey	Brazil	India
Pivot	Oct 1979	Jul 1985	Mar 2001	May 2016	Sep 2013
Policymaker	Volcker	Peres/Moda'i/Bruno	Derviş	Meirelles/Goldfajn	Rajan
Peak yield (%)	15.25	n.a.	93.6	16	9.1
Peak CPI (% yoy)	14.6	445	68.5	10.71	9.8
Ex-ante real yield (%)	3–5	>100	35.5	7.7	0–1
CPI 2–3 yrs later (%)	~3	19	9.4	2.95	3.8
Approx. local buy-hold (%)	100–120	n.a.	300–400	70–90	30–35
IMF program	No	No	Yes	No	No

Notes: Peak yield is the 30Y Treasury (US, Sep 1981), average T-bill rate (Turkey, 2001), NTN-F 10Y (Brazil, early 2016), 10Y G-sec (India, Aug 2013); Israel’s market was indexed, so no nominal peak yield exists. Buy-and-hold returns are duration-approximation estimates (MODELLED, B); see Section 5. *Source:* Author’s compilation from IMF, Bank of Israel, BCB, RBI, FRED/BLS, IBGE, MOSPI; see Appendix A.

the fastest disinflation in our sample had the lowest output cost. The US case fits the other end: gradual, grinding, expensive.

On bond return predictability, Fama and Bliss (1987) show that forward rates predict excess bond returns with power rising at longer horizons, and Cochrane and Piazzesi (2005) find a single return-forecasting factor across maturities. Our setting is the emerging-market analogue: the starting real yield forecasts the bond rally, and the forecast error (the market pricing continued failure) is the source of the return. Reinhart and Rogoff (2009) document that debt buildups precede most sovereign crises, which motivates the debt-spiral red flag in our checklist, and Cruces and Trebesch (2013) document the dispersion of restructuring haircuts, which is why restructuring risk enters as a separate leg rather than being folded into the yield.

This paper’s contribution is comparative measurement: five disinflations documented on a common template (setup, pivot, mechanics, bond outcome, costs), with the bond returns approximated on a consistent duration basis and the common anatomy extracted rather than asserted.

4 Data

Table 1 summarizes the five cases. Yields are the longest-maturity or benchmark sovereign instrument available in each case (30-year Treasury for the US, average T-bill rate for Turkey, 10-year NTN-F for Brazil, 10-year G-sec for India; for Israel, where the domestic market was dominated by indexed instruments, the domestic dollar-borrowing spread over Libor). Inflation is CPI year on year. Pivot dates mark the appointment or announcement of the credible policymaker: Volcker’s October 1979 operating-procedure change, Israel’s July 1, 1985 stabilization plan, Derviş’s March 2001 appointment, Meirelles’s May 2016 appointment, Rajan’s September 5, 2013 appointment.

Data vintage is October 2026. US series are FRED/BLS (OBSERVED, A). Turkey fiscal and inflation figures are IMF Article IV vintages (OBSERVED, A). Israel figures are Bank of Israel histories and the World Bank program review (OBSERVED, B). Brazil IPCA is IBGE via BCB inflation reports (OBSERVED, A); NTN-F yields are market data via BCB-adjacent sources (OBSERVED, B). India CPI is MOSPI (OBSERVED, B); G-sec yields are CCIL/RBI trading-system data via financial press (OBSERVED, B). Bond total returns are (MODELLED, B) throughout: price change approximated as

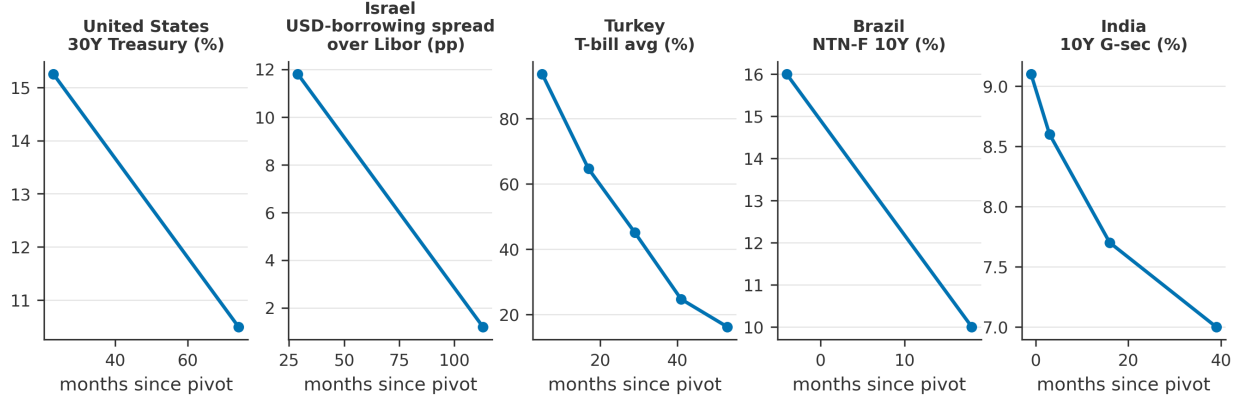


Figure 1. Nominal sovereign yields by months since the policy pivot. Each panel shows the benchmark instrument for that case; Israel’s indexed domestic market is represented by the domestic dollar-borrowing spread over Libor.

Note: Markers are observed points; thin lines connect adjacent observations. Turkey values are annual averages plotted at mid-year. *Source:* Author’s compilation; see Appendix A.

negative duration times yield change, plus carry. They indicate magnitude and ranking, not audited point estimates.

5 Methodology

Case selection followed three criteria, applied before research began. First, the episode must feature a sovereign bond yield at levels pricing continued high inflation (ex-ante real yields positive and large, or nominal yields at multi-decade highs). Second, a discrete, datable policy pivot toward disinflation must exist, attributable to an identifiable policymaker or plan. Third, the disinflation must have succeeded within five years of the pivot, so that the bond outcome is observable. Five cases met all three; no case meeting all three was excluded. This is a selected sample of successes, which Section 8 addresses.

Bond total returns are approximated, not observed from traded indices, because no single total-return index spans these instruments and periods on a consistent basis. For a bond bought at yield y_0 and sold at yield y_1 after T years with modified duration D ,

$$R \approx -D \cdot (y_1 - y_0) + \bar{y} \cdot T, \quad (2)$$

where $\bar{y}$ is the average carry yield over the holding period. Durations used: 12 years for the US 30-year, 7.5 years for 10-year instruments, 2 years for Turkish T-bills rolled annually. These are (MODELLED, B) estimates: they capture the order of magnitude and the cross-case ranking, and every figure in the text carries its range. Where the memo reported a range (e.g., 100 to 120 percent), the paper reports the range.

Evidence grading follows the house standard: Observed (taken directly from a published source), Reconstructed (computed from source data), Modelled (estimated with stated assumptions), Assumed (explicit judgment), with source quality A (official/primary), B (reputable secondary), C (provisional). Grades appear with the number, in the same sentence, per the hedge-with-the-number rule.

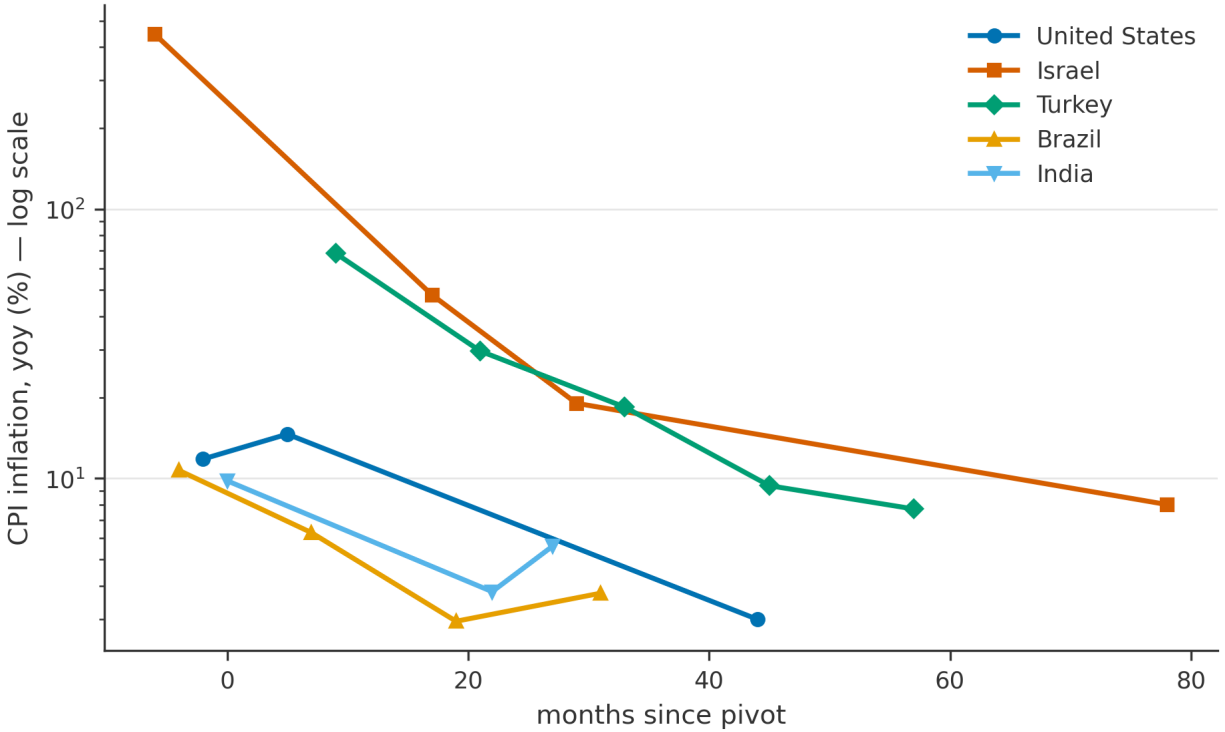


Figure 2. CPI inflation (year on year, log scale) by months since the policy pivot.
Note: Log scale accommodates Israel’s 445 percent starting point. Markers are observed points. *Source:* Author’s compilation; see Appendix A.

6 Results

Figure 1 shows the nominal yield paths for all five cases indexed to months since the policy pivot: in every case the benchmark yield falls by roughly half or more from its peak. Figure 2 shows the corresponding inflation paths on a log scale, which accommodates Israel’s 445 percent starting point alongside the others. The five subsections below condense each case from the research memo (setup, pivot, mechanics, bond outcome, costs), keeping every sourced number.

6.1 United States, 1979 to 1982

When Paul Volcker took over the Federal Reserve in August 1979, CPI inflation was 11.8 percent year on year and rising to 14.6 percent by March 1980 (OBSERVED, A). The 30-year Treasury peaked at 15.25 percent in September 1981 (OBSERVED, B). With trailing inflation near 10 to 12 percent, the ex-ante real long-bond yield was 3 to 5 percent (RECONSTRUCTED, B), extraordinary for the reserve-currency issuer. Federal debt was only 31 percent of GDP (OBSERVED, A): this was a credibility crisis, not a fiscal or currency crisis.

Volcker’s October 1979 shift from interest-rate to money-supply targeting let rates go where they needed to go; the funds rate reached 19.1 percent monthly in June 1981. The spring 1980 credit-controls episode, when Volcker cut rates sharply and expectations re-ignited, proved nearly fatal and taught markets he would not flinch twice. Disinflation worked through brute-force expectations: rates held far above inflation until wage and price setters capitulated. There was no fiscal tightening

(Reagan cut taxes), no IMF program, no exchange-rate action. The entire program was one man's credibility backed by Fed independence.

The 30-year bought at 15.25 percent began a bull market lasting nearly four decades. By end-1985 the yield was near 10.5 percent: roughly 50 percent price appreciation on 12-year duration plus four years of 15 percent carry, for a cumulative 100 to 120 percent over 1981 to 1985 (MODELLED, B). The holder to 2020 earned roughly 7 to 8 percent annualized over 39 years (MODELLED, B). The costs were the highest of the five cases: unemployment hit 10.8 percent in November 1982 (OBSERVED, A), with two recessions and three years of concentrated pain in manufacturing, construction, and farming.

6.2 Israel, 1985

Israel approached hyperinflation in 1984: CPI near 445 percent annually (OBSERVED, B), monthly inflation near 15 percent in the first half of 1985, budget deficits averaging 15 percent of GNP for a decade, the shekel being abandoned by its own users for hidden dollars, and the major banks nationalized after the 1983 bank-shares crisis at a gross cost of \$6.9 billion, near a quarter of GDP (OBSERVED, B) (about \$3.5 billion net in 1983 prices after the government later privatized the banks (RECONSTRUCTED, B)). The Likud-Labor unity government gave Shimon Peres the base to act.

The July 1, 1985 Economic Stabilization Plan, designed by Yitzhak Moda'i and Michael Bruno, was heterodox: an 8 percent of GNP fiscal cut within six months, real interest rates exceeding 100 percent annualized (OBSERVED, B), a sharp devaluation followed by a dollar peg, and a negotiated three-month wage-price freeze with the Histadrut. US emergency aid of about \$1.5 billion shored up reserves (OBSERVED, B). No IMF program.

Monthly inflation fell from 15 percent to 3.5 percent by August-September and 1.5 to 2 percent thereafter; annual CPI was 48 percent in 1986, 19 percent in 1987, single digits from 1992 (OBSERVED, B). The domestic dollar-borrowing spread over Libor compressed from 11.8 points at end-1987 to 1.2 points in 1994 (OBSERVED, A); the exact buy-and-hold return is not reconstructable from available series (ASSUMED, C), but triple-digit real rates compressing to single digits over a decade is among the great fixed-income windfalls on record.

The remarkable fact is the cost, or lack of it: real GDP grew 2.8 percent in 1985 and 2.2 percent in 1986 (OBSERVED, B), unemployment barely moved. Coordinated nominal freezes broke expectations faster than demand destruction could, substituting speed for pain. The costs were distributional (real wage cuts, subsidy removal) and deferred (a recession arrived in late 1987).

6.3 Turkey, 2001 to 2004

The February 2001 collapse was the most violent of the five: the crawling peg broke, overnight interbank rates hit 6,200 percent annualized (OBSERVED, B), the lira roughly halved in days, CPI surged to 68.5 percent by end-2001 (OBSERVED, A), and public debt jumped from 57.4 to 90.4 percent of GNP as bank recapitalization costs were socialized (OBSERVED, A). The average 2001 T-bill rate was 93.6 percent with an ex-ante real rate of 35.5 percent (OBSERVED, A): the market priced continued catastrophe.

Kemal Derviş, a World Bank vice president, took over economic policy in March 2001. The April 2001 central bank law granted instrument independence with price stability as the sole objective

(OBSERVED, A). The May 2001 program, backed by a \$16 billion IMF Stand-By Arrangement, targeted 5.5 percent of GNP primary surpluses, achieved and sustained (5.1 percent in 2002, 6.2 percent in 2003, 7.2 percent in 2004 (OBSERVED, A)), alongside bank resolution and structural reform. The AKP's November 2002 landslide continued the program.

CPI fell from 68.5 percent to 9.4 percent by end-2004 (OBSERVED, A); T-bill rates from 93.6 to 24.7 percent. The telling detail: ex-ante real rates stayed above 30 percent through 2003: the market did not believe the disinflation until it was nearly complete. A T-bill investor rolling from early 2001 through 2005 earned on the order of 300 to 400 percent in lira terms, well over 200 percent in dollars (MODELLED, B), as the lira stabilized and appreciated in real terms after the initial collapse. GDP contracted 9.5 percent in 2001 then rebounded (+7.9, +5.9, +9.9 percent in 2002-2004): deep pain, about 18 months, vigorous recovery.

The epilogue is the cautionary tale. From 2018, President Erdoğan dismantled central bank independence and cut rates into rising inflation; CPI exceeded 80 percent by late 2022. Same country, same institutions on paper, opposite policymaker, opposite outcome.

6.4 Brazil, 2016 to 2018

Brazil's worst recession on record (GDP -3.5 percent in 2015, -3.3 percent in 2016) coincided with IPCA inflation at 10.71 percent in January 2016 (OBSERVED, A), driven by administered price adjustments and a 30 percent-plus real depreciation. The Selic had been held at 14.25 percent since July 2015; the ex-ante real rate was about 7.7 percent in March 2016 (OBSERVED, A). Dilma Rousseff's impeachment in August 2016 created the opening.

Temer's team, Finance Minister Henrique Meirelles and central bank governor Ilan Goldfajn (appointed May-June 2016), held the Selic at 14.25 percent through October 2016 to cement credibility, then cut to 6.5 percent by March 2018. Constitutional Amendment 95 froze real federal spending for 20 years (December 2016); labor reform and BNDES rate reform followed. No IMF program; \$370B+ in reserves made one unnecessary.

Disinflation ran through the output gap, re-anchored expectations (detailed Copom minutes, a break from the prior regime), and real recovery from 3.9 to 3.2 per dollar unwinding pass-through. IPCA fell to 6.29 percent by December 2016 and 2.95 percent by December 2017, below the tolerance floor, faster than the BCB's own projections (OBSERVED, A). NTN-F 10-year yields fell from 16 percent to 10 percent (OBSERVED, B): roughly 40 percent price appreciation on 7-year duration plus high carry, for 70 to 90 percent in BRL over 2016-2018, plausibly above 100 percent in dollars with the real's recovery (MODELLED, B). Unemployment rose from 8.5 to 12.7 percent (OBSERVED, A); the recession predated Temer but fiscal tightening slowed the recovery, and debt kept rising (70 to 76 percent of GDP) as the stock compounded.

6.5 India, 2013 to 2015

The May-August 2013 taper tantrum hit India hard: \$11.5 billion pulled from Indian debt, the rupee down 11.6 percent in 2013 to 68.8 per dollar, reserves falling, the current account deficit at a record 4.8 percent of GDP (OBSERVED, B). CPI was 9.8 percent in September 2013; the 10-year G-sec spiked to 9.1 percent in August 2013 (OBSERVED, B).

Raghuram Rajan became RBI Governor on September 5, 2013. His first week mobilized over \$30 billion via the FCNR(B) deposit swap (OBSERVED, B); his first policy meeting raised the

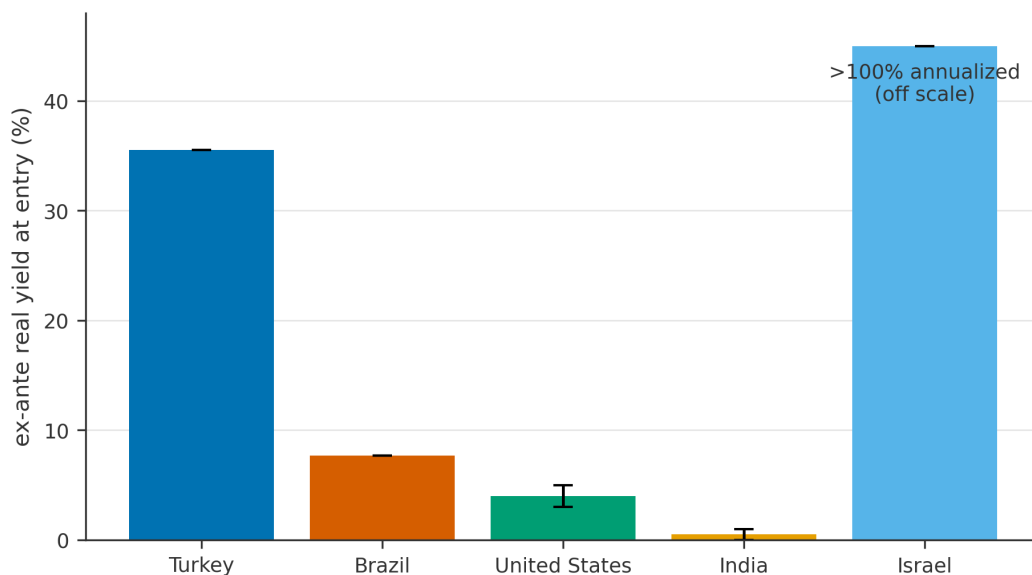


Figure 3. Ex-ante real yields at entry: nominal yield minus trailing 12-month CPI. Error bars show reported ranges; Israel's bar is capped with the true value annotated.

Note: The real yield is the market's forecast that the pivot will fail. Israel's value exceeded 100 percent annualized on short-term instruments. *Source:* Author's computations from Appendix A series.

repo rate to 7.5 percent while unwinding rupee-defense measures, signaling inflation-fighting over exchange-rate defense. The repo reached 8.0 percent in January 2014 and held. The February 2015 Monetary Policy Framework Agreement committed to 4 percent CPI inflation. No IMF program.

Disinflation combined anchored expectations with luck: crude collapsed from \$115 to under \$50 from mid-2014, and food stocks were managed through weak monsoons. CPI fell to 3.8 percent by July 2015 (OBSERVED, B); the 10-year to 7.0 percent by 2016; the rupee fell only 2.2 percent in 2014 and 4.4 percent in 2015. A 10-year bought at 9.1 percent in August 2013 earned roughly 30 to 35 percent in INR to end-2015, 22 to 27 percent in dollars (MODELLED, B). The smallest return of the five, and not coincidentally the smallest ex-ante real yield (0 to 1 percent). Costs were minimal: growth recovered from 5 to 7 percent-plus, no austerity, no spike in unemployment. The clean case, and the least lucrative, which is the point.

7 Comparative anatomy

7.1 Conditions present in all five cases

Three conditions appear in every case. First, positive ex-ante real yields at entry, often deeply so: Turkey 35.5 percent (OBSERVED, A), Brazil 7.7 percent (OBSERVED, A), the US 3 to 5 percent on the long bond (RECONSTRUCTED, B), India 0 to 1 percent (RECONSTRUCTED, B), Israel above 100 percent annualized (OBSERVED, B) (Figure 3). The real yield is the market's forecast that the pivot will fail; the gap between that forecast and the outcome is the return, and the ranking of entry real yields matches the ranking of subsequent returns.

Second, a newly appointed, named, credible policymaker: Volcker, Peres/Moda'i/Bruno, Dervis, Meirelles/Goldfajn, Rajan. Each had a track record and a reputation to lose (World Bank VP,

IMF chief economist, former central bank governor, bank chief economist, plan architect). The expectations channel runs on credibility, and in 1979-2016 credibility ran on persons. Turkey's epilogue is the controlled experiment: remove the persons, keep the institutions, lose the disinflation.

Third, a forcing crisis that discredited the old regime and created political permission for tightening: stagflation and Carter's impending defeat, near-hyperinflation plus bank nationalization, the lira collapse, impeachment, the taper tantrum. No government chooses 20 percent rates or 8 percent of GNP fiscal cuts in normal times.

7.2 Conditions present in four of five

Fiscal consolidation accompanied monetary tightening everywhere except the United States: Israel cut 8 percent of GNP in six months, Turkey sustained 5.5 percent-plus primary surpluses for seven years, Brazil froze real spending for twenty years, India consolidated modestly. The US exception is instructive: without fiscal backing, the pivot required Volcker-level credibility plus the reserve currency, which removed the exchange-rate constraint. The rule stands: fiscal backing is necessary unless credibility is absolute.

Exchange-rate stabilization took different forms (Israel's peg, Turkey's float-then-stabilize, Brazil's and India's managed recoveries; the US floated freely, again the reserve exception), but for every non-US case the currency leg decided the dollar return. This is the same wedge KR-WP-2026-20 measured across frontier markets.

An external commitment device made reversal costly in four cases: Israel's dollar peg plus US aid, Turkey's IMF arrangement plus EU accession anchor, Brazil's pre-existing inflation-targeting framework recommitted to, India's new statutory target. The device's function is to let expectations settle on the new regime.

7.3 What differed

Speed correlates with heterodoxy. Israel crushed monthly inflation in weeks via the wage-price freeze; Volcker needed three years of recession. But Israel's speed required a unity government, union cooperation, and US aid, a combination rarely available. Orthodox tools (rates, deficits, patience) work with fewer political preconditions and cost more output.

The prize correlated with the fear. Ranked by entry real yield (Turkey, Israel, Brazil, US, India), the ranking of subsequent bond returns follows the same order. The market's mispricing at entry, measured by the real yield, predicted the magnitude of the rally. This matches the cross-country finding in KR-WP-2026-20 that starting yields predict forward returns. Table 2 reports the entry yields against the subsequent returns.

The most persistent feature is also the most tradable: in every case, the bond market kept pricing the old regime long after the pivot. Turkey's ex-ante real rates sat above 30 percent for two full years into Derviş's program. The mispricing decayed over one to three years, not weeks, which is what made the trade catchable rather than a one-day repricing.

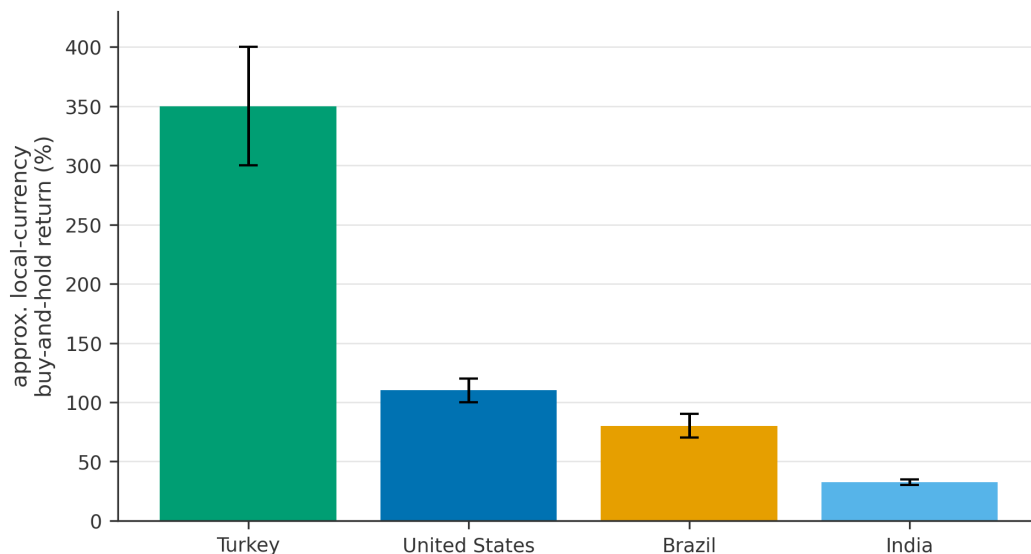


Figure 4. Approximate local-currency buy-and-hold bond total returns from peak yields. Bars show midpoints of reported ranges with range error bars. Israel excluded: its indexed market has no reconstructable nominal return series.

Note: Duration-approximation estimates (MODELLED, B); see Section 5. Dollar returns differ via the currency leg (Turkey well over 200 percent, Brazil above 100 percent, India 22 to 27 percent). *Source:* Author's computations.

7.4 Failure modes

Each trade had a visible way to die. The US nearly died in spring 1980 when credit controls reversed the tightening; Volcker's correction saved it. Israel had at least three single points of failure (union refusal, withheld US aid, a broken peg) and survived all three. Turkey's trade worked until politics removed the policymakers, the epilogue that validates the persons-over-institutions reading. Brazil's window was only as wide as the Temer reform coalition, about two years. India's depended on oil luck and monsoon management as much as on Rajan.

The checklist's red flags, drawn from these failures and from KR-WP-2026-20's Ghana finding: a high yield reflecting a debt spiral with no fiscal correction attached; a credible policymaker removable at the executive's will; a peg without reserves to defend it; and real yields high because inflation is still accelerating rather than peaking. The last distinction, level versus momentum, is the hardest to make in real time and the most important.

7.5 The checklist

Table 3 maps the checklist conditions against the five cases. The United States is the Tier 2 exception throughout.

Tier 1 (all five cases): (1) positive ex-ante real yields at entry, the higher the larger the potential mispricing; (2) a newly appointed, named, credible economic policymaker with a hawkish track record, observable on appointment day; (3) a forcing crisis that discredits the old regime. Tier 2 (four of five): (4) legislated fiscal consolidation alongside tightening; (5) exchange-rate stabilization in some credible form; (6) an external commitment device that makes reversal costly. Tier 3

Table 2. Entry real yields and subsequent bond returns

Case	Ex-ante real yield (%)	Approx. local return (%)	Approx. dollar return (%)
Israel	>100	n.a.	n.a.
Turkey	35.5	300–400	>200
Brazil	7.7	70–90	>100
United States	3–5	100–120	100–120
India	0–1	30–35	22–27

Notes: Cases ordered by entry real yield, highest first. Returns are (MODELLED, B) duration-approximation estimates over 1981–1985 (US), 2001–2005 (Turkey), 2016–2018 (Brazil), and 2013–2015 (India); see Section 5. Israel’s indexed domestic market has no reconstructable nominal return series. Dollar returns differ from local via the currency leg (Section 2). *Source:* Author’s computations; see Table 1 and Appendix A.

Table 3. Checklist conditions by case

Condition	US	Israel	Turkey	Brazil	India
<i>Tier 1 (all five cases)</i>					
Positive ex-ante real yield	Yes	Yes	Yes	Yes	Yes
Named credible policymaker	Yes	Yes	Yes	Yes	Yes
Forcing crisis	Yes	Yes	Yes	Yes	Yes
<i>Tier 2 (four of five)</i>					
Fiscal consolidation	No	Yes	Yes	Yes	Yes
Exchange-rate stabilization	No	Yes	Yes	Yes	Yes
External commitment device	No	Yes	Yes	Yes	Yes

Notes: Classifications summarize Sections 6 and 7. Without fiscal backing, the US pivot required Volcker-level credibility plus the reserve currency, which removed the exchange-rate constraint. *Source:* Author compilation from the case studies.

(judgment): (7) measurably de-anchored expectations before the pivot, so there is something to re-anchor; (8) the output cost already being paid, which lowers the marginal pain of tightening and raises political permission. Israel is the exception to (8), and the exception proves the mechanism: coordinated heterodoxy substituted for pre-existing slack.

8 Limitations, robustness, and falsifiability

This is a selected sample of successes: five cases chosen because high yields were followed by successful disinflation. It cannot estimate the base rate of the trade, the fraction of high-real-yield episodes that end in default or continued inflation rather than rally. Ghana 2016–2022, from KR-WP-2026–20, is the natural counterfactual: 20 percent-plus yields, no credible pivot, currency collapse, restructuring, minus 78 percent in dollars. Any use of the checklist must be paired with that base-rate discipline.

The bond returns are duration approximations (MODELLED, B), not index returns. They are most reliable for Turkey and Brazil (many yield observations, standard instruments) and least reliable for Israel (no reconstructable nominal series; excluded from Figure 4). The US 30-year return uses a 12-year duration that understates convexity gains on a 4.75-point rally; the true buy-and-hold was likely above the stated range, which only strengthens the ranking.

Three figures flagged in drafting have since been independently verified: the US 30-year peak of 15.25 percent in September 1981 (corroborated by period Treasury data showing 15.19 percent for the month (OBSERVED, B)); Turkey's 6,200 percent overnight rate on February 21, 2001 (two independent academic sources; contemporary reports range 5,000 to 7,500 percent intraday (OBSERVED, B)); Israel's \$6.9 billion gross bank-nationalization cost (Bank of Israel via Yale-published research; about \$3.5 billion net after privatizations) and the \$1.5 billion US emergency aid package (Supplemental Appropriations Act of August 1985, confirmed in the Congressional Record (OBSERVED, A)). None is load-bearing for the comparative conclusions.

Falsifiability: the paper's central claim is that the three Tier 1 conditions jointly identify disinflation trades with large subsequent bond returns. It would be weakened by a documented case meeting all three Tier 1 conditions where the bond rally failed to materialize within five years, or by a large rally occurring with none of the three present. The "persons over institutions" claim would be weakened by a successful disinflation led by an anonymous committee with no reputational stake. This is a retrospective analysis; there was no pre-registered plan.

9 Conclusion

Five times in five decades, bond markets priced the continuation of high inflation, a credible policymaker arrived with political permission to break it, and bondholders earned between 30 and 400 percent. The anatomy is consistent: the ex-ante real yield measures the market's mispricing, the named policymaker supplies the credibility the expectations channel runs on, and the forcing crisis supplies the permission. The market's error decays over one to three years, which is why the trade is catchable.

The honest bounds are these. The sample is selected on success; the base rate of high-yield episodes ending well is far below 100 percent, and Ghana is the reminder. The returns are approximated, not audited. And the checklist's most consistent condition, the credible person, is also the least durable: Turkey shows the entire institutional apparatus failing within a few years of the person's removal. The disinflation trade is a bet on a person, a crisis, and a mispricing, in that order. When all three are visible, the odds have rarely been better. When any one is missing, the high yield is usually fair compensation for what follows.

References

- Ball, Laurence. 1994. "What Determines the Sacrifice Ratio?" In *Monetary Policy*, 155–193. Chicago: University of Chicago Press.
- Barro, Robert J., and David B. Gordon. 1983. "A Positive Theory of Monetary Policy in a Natural Rate Model." *Journal of Political Economy* 91(4): 589–610.
- Cochrane, John H., and Monika Piazzesi. 2005. "Bond Risk Premia." *American Economic Review* 95(1): 138–160.
- Cruces, Juan J., and Christoph Trebesch. 2013. "Sovereign Defaults: The Price of Haircuts." *American Economic Journal: Macroeconomics* 5(3): 85–117.
- Fama, Eugene F., and Robert R. Bliss. 1987. "The Information in Long-Maturity Forward Rates." *American Economic Review* 77(4): 680–692.

Table 4. Data sources by case.

Case	Series	Source
United States	30Y Treasury yield, CPI, unemployment	FRED (DGS30 from 1977), BLS
	Fed funds, debt/GDP	Federal Reserve history, FRED GFDEGDQ
Israel	CPI, GDP, fiscal deficit	Bank of Israel Annual Report 1985; World Bank program review
Turkey	Interest spreads	IMF 1995 Article IV
	CPI, T-bill rates, debt, primary balance	IMF Article IV (2001, 2007 vintages)
Brazil	IPCA, Selic, unemployment	IBGE; BCB Inflation Reports (Dec 2015, Mar 2016)
	NTN-F yields	Market data via BCB-adjacent sources
India	CPI, 10Y G-sec, rupee, reserves	MOSPI; CCIL/RBI via financial press; Hindu BusinessLine

Notes: Retrieved October 2026. Series definitions follow the memo at `workspace/yield-trade-cases/memo.md`. Months-since-pivot indexing uses pivot dates: Oct 1979 (US), Jul 1985 (Israel), Mar 2001 (Turkey), May 2016 (Brazil), Sep 2013 (India).

Kydland, Finn E., and Edward C. Prescott. 1977. “Rules Rather than Discretion: The Inconsistency of Optimal Plans.” *Journal of Political Economy* 85(3): 473–492.

Lucas, Robert E. 1976. “Econometric Policy Evaluation: A Critique.” *Carnegie-Rochester Conference Series on Public Policy* 1: 19–46.

Reinhart, Carmen M., and Kenneth S. Rogoff. 2009. *This Time Is Different: Eight Centuries of Financial Folly*. Princeton, NJ: Princeton University Press.

Sargent, Thomas J. 1982. “The Ends of Four Big Inflations.” In *Inflation: Causes and Effects*, 41–97. Chicago: University of Chicago Press.

A Data appendix

Table 4 inventories every series used in the figures and Table 1.